Fin — Financial Summary

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EXECUTIVE SUMMARY

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The company reported total revenue of $6,650,000 for FY 2025-26, reflecting a significant increase from the previous year's $5,200,000. Despite rising expenses, including cost of goods sold and rent utilities, the company maintained strong profitability with a net profit of $2,070,000, resulting in a profit margin of 31.1%. This highlights robust revenue growth supported by effective cost management strategies.

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KEY METRICS

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- **Total Revenue:** $6,650,000
- **Net Profit:** $2,070,000
- **Profit Margin:** 31.1%
- **Revenue Growth:** 27.9% compared to the previous year.

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REVENUE ANALYSIS

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The company's revenue grew significantly during FY 2025-26, with product sales contributing $4,500,000, service revenue adding $1,200,000, subscription income surging by over 56% to $800,000, and other income providing $150,000. The surge in subscription income was a key driver of the growth, reflecting expanding customer bases or increased product subscriptions.

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EXPENSE ANALYSIS

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Total expenses reached $4,580,000, with cost of goods sold ($2,100,000) and rent utilities ($280,000) being the largest expense categories. Marketing and advertising expenses increased slightly from the previous year

but remained a critical yet relatively smaller component of total costs.

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PROFIT AND LOSS SUMMARY

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- **Gross Profit:** $4,550,000 (reflecting strong gross margins despite rising COGS).
- **Operating Profit:** $2,070,000 (indicating efficient operations and cost management).
- **Net Profit:** $2,070,000 (maintaining a healthy profit margin despite increased expenses in certain areas).

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BALANCE SHEET HIGHLIGHTS

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The company's total assets of $8,900,000 are well-balanced between current and fixed assets. Total liabilities of $3,400,000, including both current and long-term components, suggest a stable financial position with shareholders' equity at $5,500,000.

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CASH FLOW SUMMARY

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The company generated $2,300,000 in operating cash flow, indicating strong liquidity from core operations. However, negative cash flows in investing and financing activities suggest moderate capital expenditures and debt repayments.

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KEY FINANCIAL INSIGHTS

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1. The company's revenue growth is primarily attributed to subscription income, which has seen a substantial increase.
2. Despite rising expenses for certain categories (e.g., rent utilities), the company maintained strong profitability.
3. The profit margin of 31.1% highlights the ability to manage costs effectively while maintaining high sales volumes.

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RECOMMENDATIONS

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1. Continue focusing on cost optimization, particularly in areas where expenses increased (e.g., rent utilities).

2. Explore strategic investments in fixed assets or product development to sustain and accelerate growth.
3. Maintain a balanced approach to debt management to ensure long-term financial stability without compromising equity returns.